

26STCP02643 26STCP02643

County: los-angeles

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Case Number: 26STCP02643 Hearing Date: August 13, 2026 Dept: 730

Superior Court of

California

County of Los Angeles

Department

730

WATERLOO

PAYS, LLC

Petitioner,

vs.

CERTAIN

STATUTORILY DEFINED INTERESTED PARTIES,

Real Party-In-

Interest/Transferor.

Case No.:

26STCP02643

Hearing

Date:

August 13,
2026

[TENTATIVE]

ORDER DENYING PETITION FOR APPROVAL
FOR TRANSFER OF PAYMENT RIGHTS

I. BACKGROUND

Waterloo Pays, LLC petitioned for Approval for Transfer of Payment Rights. The verified Petition (the "Petition") filed on July 10, 2026, and amended on July 22, 2026, states as follows:

Petitioner Waterloo Pays, LLC ("Petitioner") brings this action on behalf of Damien Sheppard ("Payee" or "Sheppard"). Pursuant to a confidential settlement, Sheppard became entitled to certain structured settlement payments resulting from a childhood abuse claim. If the Purchase Agreement is approved, Sheppard will transfer 4 annual payments totaling \$232,734.80, with \$58,183.70 due each payment between January 1, 2027, and January 1, 2030. In exchange, Petitioner will pay Sheppard \$153,103.12.

Sheppard
has submitted a declaration in support of the Petition.

II. DISCUSSION

Petitioner seeks an Order approving the transfer of payment rights pursuant to Insurance Code section 10134, et seq.

Insurance Code section 10137[1]
provides:

"A transfer of structured settlement
payment rights is void unless a court reviews and approves the transfer and
finds the following conditions are met: 1

(a) The transfer of the
structured settlement payment rights is fair and reasonable and in the best
interest of the payee, taking into account the welfare and support of his or

her dependents.

(b) The transfer complies with the requirements of this article, will not contravene other applicable law, and the court has reviewed and approved the transfer as provided in Section 10139.5.”

Section 10139.5 provides that a transfer of structured settlement payment rights is not effective unless “the transfer has been approved in advance in a final court order based on express written findings by the court that:

“(1) The transfer is in the best interest of the payee, taking into account the welfare and support of the payee's dependents.

(2) The payee has been advised in writing by the transferee to seek independent professional advice regarding the transfer and has either received that advice or knowingly waived, in writing, the opportunity to receive the advice.

(3) The transferee has complied with the notification requirements pursuant to paragraph (2) of subdivision (f), the transferee has provided the payee with a disclosure form that complies with Section 10136, and the transfer agreement complies with Sections 10136 and 10138.

(4) The transfer does not contravene any applicable statute or the order of any court or other government authority.

(5) The payee understands the terms of the transfer agreement, including the terms set forth in the disclosure statement required by Section 10136. (6) The payee understands and does not wish to exercise the payee's right to cancel the transfer agreement.” (§ 10139.5, subdivision (a).)

“When determining whether the transfer is fair, reasonable, and in the payee's best interests, taking into account the welfare and support of the payee's dependents, the court shall consider the totality of the circumstances.” (§ 10139.5, subdivision (b) [including but not limited to, the circumstances listed in section 10139.5, subdivision (b)(1)-(15)].) In addition, “[e]very petition for approval of a transfer of structured settlement payment rights,

except as provided in subdivision (d), shall include, to the extent known after the transferee has made reasonable inquiry with the payee, all of the following:

(1) The payee's name, address, and age.

(2) The payee's marital status, and, if married or separated, the name of the payee's spouse.

(3) The names, ages, and place or places of residence of the payee's minor children or other dependents, if any.

(4) The amounts and sources of the payee's monthly income and financial resources and, if presently married, the amounts and sources of the monthly income and financial resources of the payee's spouse.

(5) Whether the payee is currently obligated under any child support or spousal support order, and, if so, the names, addresses, and telephone numbers of any individual, entity, or agency that is receiving child or spousal support from the payee under that order or that has jurisdiction over the order or the payments in question.

(6) Information regarding previous transfers or attempted transfers." (§ 10139.5, subdivision (c).)

A.

Section 10139.5(a) Findings

(1)

Whether the transfer is in the best interests of the payee

The transfer must be in the best interest of the payee, taking into account the welfare and support of the payee's dependents. (§ 10139.5, subdivision (a)(1).)

Sheppard

stated the reasons why he believes the transfer is in his best interests. The payments were solely monetary in nature and not intended to pay for necessary living expenses or medical care relating to the incident. (Sheppard Decl. ¶ 8) Sheppard

is 44 years old, married, with one teenage dependent and no court-ordered child support obligations. (Id. ¶¶ 3-5, 7.) Sheppard is currently self-employed and earns approximately \$6,000.00 per month. (Id. ¶ 6.) Sheppard has completed no previous transactions involving this structured settlement. (Id. at ¶ 12.) Sheppard seeks to use this money to complete home renovations. (Id. at ¶ 11.)

Based on the information provided and considering the circumstances listed in section 10139.5(b)(1)-(15), the court finds the transfer in the best interest of the payee.

(2) Whether the payee has been advised in writing by the transferee to seek independent professional advice regarding the transfer and has either received that advice or knowingly waived, in writing, the opportunity to receive the advice.

Petitioner attaches an Independent Professional Advice acknowledgment signed by Sheppard. (Pet.; Ex. 4.) However, Sheppard failed to check either box on the document, indicating he either considered the option to obtain independent advice, but chose not to seek it, or retained professional advice. Sheppard otherwise declared Petitioner advised him of the right to seek independent advice and waived his right to advice and to retain an independent advisor. (Sheppard Decl. ¶ 16.)

The court finds section 10139.5(a)(2) is met.

(3) Whether the transferee has complied with the notification requirements pursuant to paragraph (2) of subdivision (f), the transferee has provided the payee with a disclosure form that complies with Section 10136, and the transfer agreement complies with Sections 10136 and 10138.

Petitioner has complied with the notification requirements and has attached a disclosure form that complies with Section 10136 and a transfer agreement that complies with sections 10136 and 10138. (Pet. Ex. 2.)

The court finds section 10139.5(a)(3) is met.

(4) Whether

the transfer does not contravene any applicable statute or the order of any court or other government authority.

The transfer generally complies with statutory requirements, and there is no evidence that it contravenes the order of any court or other government authority.

The court finds section 10139.5(a)(4) is met.

(5) Whether

the payee understands the terms of the transfer agreement, including the terms set forth in the disclosure statement required by Section 10136.

The Court finds Sheppard does not understand the terms of the transfer agreement. Although Sheppard signed the disclosure agreement, the amount Sheppard attests he is receiving and paying is different than the amount presented to the Court by Petitioner. In the Schedule "A" (Terms Rider) to the Agreement to Transfer Structured Settlement Payment Rights, the contract provides Petitioner will pay Sheppard \$153,103.12 upon approval of the structured settlement in return for Sheppard making four annual payments of \$58,183.70. (Pet., Ex. 1.) In the Addendum to Contract, the contract instead provides Sheppard must make four annual payments of \$538,183.70, in return for the initial offering. (Ibid.) While it appears to the Court that this number is a mistake based upon the alleged total, the terms are still obfuscated.

Furthermore, there is no indication Sheppard understands the terms as Petitioner alleged, as Sheppard provides completely different terms in his declaration: "I am transferring the following payments to petitioner: 4 annual payments of \$77,000.00 due beginning January 1, 2027 through and including January 1, 2030....if approved, I will receive \$225,000.00." (Sheppard Decl. ¶¶ 9-10.) These amounts substantially differ than the amount otherwise presented to the Court.

The court finds section 10139.5(a)(5) is not met. As the Court does not find all of section 10139.5 is met, the Court denies the petition.

(6) Whether the payee understands and does not wish to exercise the payee's right to cancel the transfer agreement.

Sheppard declares he does not wish to exercise her right to cancel the agreement. (Sheppard Decl. ¶ 18.) The court finds section 10139.5(a)(6) is met.

B. Section
10139.5(c) Requirements

Sheppard's declaration also fails to provide the information required by section 10139.5, subdivision (c). Sheppard's declaration does not provide any information as to the amounts and sources of monthly income of Sheppard's spouse, as required by section 10139.5, subdivision (c)(4).

This section's requirements are not met.

III. CONCLUSION

Based on Sheppard's declaration and the other information provided and considering the circumstances listed in section 10139.5(b)(1)-(15), the Court does not find the transfer to be fair and reasonable and in the best interest of Sheppard. Accordingly, the Petition is DENIED.

Moving Party is ordered to give notice.

DATED:
August 13, 2026

Hon. Alexander C.D. Giza

Judge of the Superior Court

PLEASE TAKE NOTICE:

- Parties are encouraged to meet and confer after reading this tentative ruling to see if they can reach an agreement.

- If a party intends to submit on this

tentative ruling, the party must send an email to the court at with the Subject line "SUBMIT" followed by the case number. The body of the email must include the hearing date and time, counsel's contact information, and the identity of the party submitting.

- Unless all parties submit by email to this

tentative ruling, the parties should arrange to appear remotely (encouraged) or in person for oral argument. You should assume that others may appear at the hearing to argue.

- If the parties neither submit nor appear at

hearing, the Court may take the motion off calendar or adopt the tentative ruling as the order of the Court. After the Court has issued a tentative ruling, the Court may prohibit the withdrawal of the subject motion without leave.

[1] Undesignated

statutory references are to the Insurance Code.